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Figma will begin trading on the New York Stock Exchange on Thursday in one of the most anticipated IPOs of 2025. The IPO is 40x oversubscribed, VCs confirmed to TechCrunch and Bloomberg previously reported.

That means demand for shares is 40x the number of shares the company and its existing investors are selling. So it should surprise no one that Figma, which offers design software, has priced its initial shares at \$33 per share, above its previously announced range.

On Monday, the company said its expected price range was \$30 to \$32, up from a previously announced range of \$25 to \$28. At the final \$33 price, the offering raised \$1.2 billion. Most of that money is going to existing shareholders who are selling about twice as many shares (including founder and CEO Dylan Field) as the company itself has offered.

The IPO price value of the \$1.2 billion price Adobe paid for Figma last year apart in 2023 under

Topics: Figma, IPO

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Julie Bort
Venture Editor

Julie Bort is the Staff Writer for TechCrunch.

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Tesla shuts down Dojo, the AI training supercomputer that Musk said would be key to full self-driving

Rebecca Bellan · 1:40 PM EDT, August 7, 2025



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arked about Dojo, albeit briefly, as recently as the company's second-quarter earnings call.

In 2023, Morgan Stanley predicted Dojo could add \$500 billion to the company's market value by unlocking new revenue streams in the form of robotaxis and software services. Just last year, Musk noted that Tesla's AI team would "double down" on Dojo in the lead-up to Tesla's robotaxi reveal, which happened in October.

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But talk about Dojo, Musk touted Cortex inference, built at Tesla HQ in

The Dojo project is making. Tesla unveiled its first AI Day in 2021, said would be used as a supercomputer. The D2 chip that would be predecessor.

Sources told Bloomberg, Nvidia, as well as

Samsung for chip manufacturing. Tesla last month signed a \$16.5 billion deal with Samsung to make its AI6 inference chips, a chip design that promises to scale from powering FSD and Tesla's Optimus humanoid robots all the way to high-performance AI training in data centers.

During Tesla's second-quarter earnings call, Musk hinted at potential redundancies.

"Thinking about Dojo 3 and the AI6 inference chip, it seems like intuitively, we want to try to find convergence there, where it's basically the same chip," Musk said.

The news comes as Tesla's board offers Musk a \$29 billion pay package to keep him at Tesla and help push the company's AI efforts forward,

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nts at the future: AI-
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rather than getting too sidetracked by his other companies, including the more pure-play AI startup xAI.

TechCrunch has reached out to Tesla for more information.

Have a sensitive tip or confidential documents? We're reporting on the inner workings of the AI industry — from the companies shaping its future to the people impacted by their decisions. Reach out to Rebecca Bellan at rebecca.bellan@techcrunch.com and Maxwell Zeff at maxwell.zeff@techcrunch.com. For secure communication, you can contact us via Signal at [@rebeccabellan.491](https://www.signal.me) and [@mzeff.88](https://www.signal.me).

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Rocket Lab eyes big defense opportunities with new acquisition

Rocket Lab is signaling to investors, yet again, that it's more than "just" a rocket company.

Rocket Lab's second-quarter results, which were posted Thursday, show revenue continued to be driven by its space systems business rather than its rocket business, highlighting the company's acquisition of Orbital ATK's commercial payload company will make it a more attractive investment contracts.

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Down on Earth, Rocket Lab says it's progressing well toward the first launch of its larger Neutron rocket. The rocket's launch complex in Virginia is expected to be complete in the third quarter of this year, with hardware en route and the new rocket engine, called Archimedes, undergoing multiple tests per day.

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STARTUPS

High costs and thin margins threatening AI coding startups

Marina Temnikova • 2:05 PM PDT • August 7, 2025



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Insiders tell TechCrunch
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This is due to the high costs of using large language models (LLMs), the person explained. AI coding assistants are particularly pressured to always offer the most recent, most advanced, and most expensive LLMs because model makers are particularly fine-tuning their latest models for improvements in coding and related tasks like debugging.

This is a challenge compounded by fierce competition in the vibe-coding and code-assist market. Rivals include companies that already have huge customer bases like Anysphere's Cursor and GitHub Copilot.

The most straightforward path to improving margins in this business involves the startups building their own models, thereby eliminating costs of paying suppliers like Anthropic and OpenAI.

- ▶ [Google says it's taking a break from AI coding assistants, but not from AI search](#)
- ▶ [Three weeks after coding on Windows, Microsoft will launch its first AI assistant](#)
- ▶ [Spotify joins subscription price war](#)
- ▶ [The startup that helped create the world's first AI coding assistant](#)

It's a very expensive business to run if you're not going to be in the model game," said the person.

AI agents
automation
AI design agent
and other AI services

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Multiple people b
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"Margins on all of the 'code gen' products are either neutral or negative. They're absolutely abysmal," said Nicholas Charriere, founder of Mocha, a vibe-coding startup and back-end hosting solution serving small and medium businesses (SMBs). He added that he believes the variable costs for all the startups in the sector are very close, likely within 10% to 15% of one another.

Unlike Windsurf, Anysphere has been growing so fast that it intends to remain an independent company, having already turned down acquisition offers, including, reports say, from OpenAI.

And Anysphere announced in January that it is attempting to build its own model, which could give it more control over its expenses. In July,

the AI design agent
ins in 3 minutes

the startup hired two leaders from Anthropic's Claude Code team, the information reported, but two weeks later, these employees returned to work at Anthropic.

In addition to building a model, Anysphere could expect the cost of LLMs to decrease over time.

"That's what everyone's banking on," said Erik Nordlander, a general partner at Google Ventures. "The inference cost today, that's the most expensive it's ever going to be."

It's not entirely clear how true that is. Rather than falling as expected, the cost of some of the latest AI models has risen, as they use more time and computational resources to handle complicated, multistep tasks.

When that will change, OpenAI introduced significantly less. Anysphere immediately

to approval.



Anysphere has also increased costs, particularly to its customers by surging top of its \$20-per-employee. Anysphere apologized for uncertainty in a blog post.

This is the rock and popular AI application company's user base. The company developed

Anysphere didn't respond to a request for comment.

Given the competitive landscape and the costs, Windsurf's decision to get out may prove to be understandable. After the OpenAI deal fell through, the founders and key employees left to join Google in a deal that led to a \$2.4 billion payout to key shareholders. The remaining business then sold itself to Cognition.

While many, including prominent VCs, criticized Mohan for leaving approximately 200 employees without roles at Google, a source familiar with the deal insisted the acquisition actually maximized the outcomes for all employees.



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beyond Cursor, other AI coding tools are also among the fastest growing startups of the LLM generation, like Replit, Lovable, and Bolt, and all of them rely on model makers as well.

Additionally, if this extremely popular business sector, already generating hundreds of millions in revenue or more a year, has difficulty building on top of model makers, what might it mean for other, more nascent industries?

Topics: AI coding assistants cursor Startups Venture Windsurf



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